

cannot be prevented. Accordingly, in every important financial center, the early curb markets have gradually moved indoors, adopted regulation for the business of their members, and enforced these rules by their power to deny admittance to such members as broke their rules. Upon this solid basis, elaborate but enforceable codes of conduct for stock exchange members have everywhere evolved.

This imposition of order and discipline upon the stock market, brought about by the organization of stock exchanges, constitutes one of their most important functions, and any comprehensive description of its many ramifications would make a fair-sized volume by itself. A particularly comprehensive code of rules has been gradually built up by the New York stock exchange, with which securities applying for admission to dealings on the exchange floor must comply; the listing requirements of the New York stock exchange are the most intensive and searching in the world, in their insistence upon compulsory publicity and other features designed to inform and protect the investing public. Admission to membership in the stock exchange is not merely a matter of purchasing a "seat," for the applicant must be formally elected, and if his record is in any way questionable, he will not be admitted. The methods which stock exchange members and their firms employ in their business are also subject to comprehensive and at the same time detailed regulations of the stock exchange constitution and rules. The governing committee of the exchange can prescribe severe penalties for actions by its members which could scarcely be successfully prosecuted in a public court of law.

From the economic standpoint, the basic function of stock exchanges consists in rendering securities more readily negotiable than they otherwise could be. How necessary this service is, should be obvious to anyone who will reflect what thrift and investment really involve. The fundamental reason why we shortsighted human beings are nevertheless willing to deny ourselves the enjoyment of present wants and satisfactions in order to save our money and invest it in securities,